EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The LGU was founded in the 1580s by Juan de Salcedo. He found in Camalaniugan, a flourishing community of farmers and fishermen led by Guiab. At that time, Camalaniugan encompassed a large area that included what we know now as the towns of Buguey, Sta. Teresita, Gonzaga and Sta. Ana. Camalaniugan was one of the first towns in Cagayan to be organized. At present it is composed of twenty-eight (28) barangays and ranked as a 4th class municipality.

With its existing development trends, strategic locations and resources, the Municipality is envisioned to be the center of Agro-Commercial progress in the province and the region as well, where dignified Camalaniugeños feel the enjoyment of improved quality life in a balanced environment thru the principle of good governance.

Records show that through its fast and ever changing economic and political development, the Municipality was awarded by institutions, both private and public, as follows:

a. The Seal of Good House Keeping Bronze Category;
b. The One of the Best LGU Anti Red Tape Act Implementer;
c. The Seal of Good House Keeping Silver Category;
d. The Seal of Good Financial House Keeping;
e. The Seal of Good Local Governance- CYs 2016-2019;
f. 2017 Top 5 Most Competitive 4th to 6th Class LGU (CMCI);
g. 2018 Top 14 Most Competitive 4th to 6th Class LGU (CMCI);
h. Consistent Seal of Child Friendly LGU;
i. Consistent Project PREPARE AWARDEE (Provincial Level) – CYs 2016-2018
j. LGU-MHO Purple Ribbon Award- CYs 2018 and CY 2019;
k. Local Health System Award (Regional Awardee);
l. National Voluntary Blood Services or SANDUGO- (Regional Awardee); and
m. Outstanding Performance on Revenue Generation & Resource Mobilization- CY 2018, Having surpassed the target on Business Tax, Fees and Charges, Receipts from Economic Enterprises.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Camalaniugan, Cagayan for CY 2021 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards (PPSAS), and whether prevailing laws, rules and

regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance, and performance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, financial performance, appropriations, allotments and obligations of the Municipality of Camalaniugan, Cagayan for the year ended December 31, 2021, with comparative figures for CY 2020, are as follows:

Particulars	2021	2020	Increase (Decrease)
			Amount
Financial Position			
Assets	323,013,197.61	271,803,846.09	51,209,351.52
Liabilities	64,302,864.15	63,428,677.66	874,186.49
Govt. Equity	258,710,333.46	208,375,168.43	50,335,165.03
Financial Performance			
Income	132,951,132.40	121,718,046.99	11,233,085.41
Expense	119,788,102.28	106,126,802.27	13,661,300.01
Appropriations, Allotments and Obligation			
Appropriations	131,641,637.01	160,945,645.71	(29,304,008.70)
Obligations	121,867,380.52	148,499,668.39	(26,632,287.87)

C. Independent Auditor's Report on the Financial Statements

The auditor rendered a qualified opinion on the fairness of presentation of the financial statements of the Municipality of Camalaniugan, Cagayan for the year ended December 31, 2021 due to the unreconciled balances of Property, Plant and Equipment between the Accounting and the Property records amounting to P67,313,948.00, thus, the accuracy of the PPE account in the financial statements cannot be verified.

D. Summary of Significant Audit Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. **The balance of the Liabilities account amounting to P6,457,488.95 as at December 31, 2021 could not be relied upon due to erroneous recording of the following: a) retention money withheld for future defects to Accounts Payable; b) proceeds from sale of bidding documents to Bail Bonds Payable; and c) security deposits from tenants and proceeds from sale of bid documents to**

Guaranty/Security Deposits Payable, which are inconsistent with COA Circular No. 2015-009 dated December 01, 2015.

We recommended that the Municipal Accountant prepare all the necessary adjusting entries to reclassify the affected accounts and to record all financial transactions in accordance with COA Circular No. 2015-009 dated December 01, 2015 to fairly present the financial statements.

2. **Depreciation Expense was not provided for Investment Property, with a total carrying value of P5,774,162.33, as at December 31, 2021, contrary to Philippine Public Sector Accounting Standard 16 (PPSAS 16), thus, overstating the asset account presented in the Statement of Financial Position.**

   We recommended that the Management direct the Municipal Accountant to compute the depreciation expense of the Investment Property account, prepare the lapsing schedule and draw the necessary journal entry to take up depreciation expense for the current year and record adjustment in government equity account for unrecorded prior years' depreciation expense to present fairly the financial statements in accordance with PPSAS 16.

3. **Salaries and wages, with an aggregate amount of P2,887,055.00, were inappropriately charged against the 20% development fund, contrary to the provisions of DBM-DOF-DILG-Joint Memorandum Circular No. 1 dated November 4, 2020, thus, defeating the purpose for which the fund was established**.

   We recommended that the Management optimize the utilization of its 20% Development Fund in accordance with the provisions of DBM-DOF- DILG Joint Memorandum Circular No. 1 dated November 4,2020 and avoid the charging of MOOE and other administrative expenditures to this fund in order to deliver greater socio- economic and environmental management impacts to its constituents.

4. **The reliability and accuracy of the Special Trust Fund under the account "Trust Liability-DRRM" amounting to P1,731,471.77 cannot be relied upon due to: 1) non-transfer of the unexpended balance of Local Disaster Risk Reduction Management Funds (LDRRMF) for CY 2021 to the Special Trust Fund; and 2) erroneous presentation of LDRRMF in the Notes to Financial Statements, which are contrary to the accounting and reporting guidelines prescribed under COA Circular No. 2012-002 dated September 12, 2012 and Government Accounting Manual (GAM) for Local Government Units (LGUs), thus, misstating the financial statements.**

   We recommended that the Management cause the transfer of the unexpended/unobligated balances of the Quick Response Fund (QRF) and the DRRMF-MOOE at the end of the year to the Special Trust Fund under the account

"Trust Liabilities-DRRMF" and strictly comply with the accounting guidelines and disclosures of LDRRMF under COA Circular No. 2012-002 and GAM for LGUs.

E. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	
Disallowances					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	**-**
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	

F. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of the eleven (11) audit recommendations in the CY 2020 Annual Audit Report, eight (8) were fully implemented while two (2) were partially implemented and one (1) was not implemented.